Consolidated Financial Statements
(Expressed in Canadian dollars)

CANADA BREAD COMPANY, LIMITED

Three months and nine months ended September 30, 2005 and 2004

CANADA BREAD COMPANY, LIMITED

Consolidated Balance Sheets
(In thousands of Canadian dollars)

	As at September 30, 2005	As at September 30, 2004	As at December 31, 2004
	(Unaudited)	(Unaudited)	
ASSETS		(As restated) (Note 2 (a))	(As restated) (Note 2(a))
Current assets			
Cash and cash equivalents	**$ 11,690**	$ 25,785	$ 9,312
Accounts receivable (Note 4)	**24,710**	24,366	24,148
Due from Maple Leaf Foods Inc.	**736**	3,437	–
Inventories	**38,626**	36,507	33,504
Future tax asset – current	**6,778**	4,952	5,193
Prepaid expenses and other assets	**4,286**	3,652	2,103
	86,826	98,699	74,260
Property and equipment	**354,928**	344,545	354,128
Goodwill	**315,537**	331,532	324,237
Other long-term assets	**2,650**	3,909	3,386
Future tax asset – non-current	**8,040**	720	5,465
Other intangibles	**5,843**	8,101	6,167
	$ 773,824	$ 787,506	$ 767,643
LIABILITIES AND SHAREHOLDERS' EQUITY			
Current liabilities			
Accounts payable and accrued charges	**$ 151,654**	$ 143,184	$ 149,410
Due to Maple Leaf Foods Inc.	**–**	–	140
Dividends payable	**1,525**	1,525	1,525
Income and other taxes payable	**18,974**	12,915	26,501
Current portion of long-term debt (Note 5)	**517**	–	91,482
	172,670	157,624	269,058
Long-term debt (Note 5)	**56,116**	142,221	344
Future tax liability	**25,888**	27,943	21,780
Shareholders' equity	**519,150**	459,718	476,461
	$ 773,824	$ 787,506	$ 767,643

The accompanying notes to the consolidated financial statements are an integral part of these statements.

CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Earnings
(In thousands of Canadian dollars, except share amounts)

(Unaudited)	Three months ended September 30, 2005	2004	Nine months ended September 30, 2005	2004
Sales	**$ 346,144**	$ 335,707	**$ 1,007,615**	$ 970,787
Earnings from operations before restructuring costs	**32,865**	29,016	**85,355**	71,806
Restructuring costs (Note 3)	**–**	–	**4,723**	–
Earnings from operations	**32,865**	29,016	**80,632**	71,806
Other income (expense)	**25**	(80)	**989**	14
Earnings before interest and income taxes	**32,890**	28,936	**81,621**	71,820
Interest expense	**1,160**	2,085	**4,551**	5,009
Earnings before income taxes	**31,730**	26,851	**77,070**	66,811
Income taxes	**8,692**	7,803	**20,885**	19,415
Net earnings for the period	**$ 23,038**	$ 19,048	**$ 56,185**	$ 47,396
Earnings per share - basic	**$ 0.91**	$ 0.75	**$ 2.21**	$ 1.86
Earnings per share - diluted	**$ 0.90**	$ 0.73	**$ 2.19**	$ 1.82
Dividends per share declared	**$ 0.06**	$ 0.06	**$ 0.18**	$ 0.18
Weighted average number of shares (millions)	**25.4**	25.4	**25.4**	25.4

The accompanying notes to the consolidated financial statements are an integral part of these statements.

Consolidated Statements of Retained Earnings
(In thousands of Canadian dollars)

(Unaudited)	Nine months ended September 30, 2005	2004
Retained earnings, beginning of period	**$ 337,827**	$ 277,279
Net earnings for the period	**56,185**	47,396
Dividends declared	**(4,575)**	(4,575)
Retained earnings, end of period	**$ 389,437**	$ 320,100

The accompanying notes to the consolidated financial statements are an integral part of these statements.

CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Cash Flows
(In thousands of Canadian dollars)

(Unaudited)	Three months ended September 30, 2005	Three months ended September 30, 2004	Nine months ended September 30, 2005	Nine months ended September 30, 2004
CASH PROVIDED BY (USED IN)				
Operating activities				
Net earnings	**$ 23,038**	$ 19,048	**$ 56,185**	$ 47,396
Add (deduct) items not affecting cash:				
Depreciation and amortization	**10,988**	10,212	**32,198**	31,216
Future income taxes	**1,097**	(297)	**(52)**	(952)
Loss (gain) on sale of property and equipment	**10**	113	**(871)**	105
Other	**(2,158)**	1,175	**(378)**	1,048
Change in operating working capital	**15,351**	2,522	**(12,266)**	15,342
	48,326	32,773	**74,816**	94,155
Financing activities				
Dividends paid	**(1,525)**	(1,525)	**(4,575)**	(4,575)
Net decrease in long-term debt	**(57,749)**	(12,203)	**(29,243)**	(24,682)
	(59,274)	(13,728)	**(33,818)**	(29,257)
Investing activities				
Additions to property and equipment	**(10,308)**	(19,922)	**(42,914)**	(44,452)
Proceeds from sale of property and equipment	**46**	72	**4,407**	791
Purchase of net assets of businesses, net of cash acquired	**–**	(5,894)	**–**	(5,894)
Purchase of intangible assets, net	**(331)**	(637)	**(113)**	(1,086)
	(10,593)	(26,381)	**(38,620)**	(50,641)
Increase in cash and cash equivalents	**(21,541)**	(7,336)	**2,378**	14,257
Cash and cash equivalents, beginning of period	**33,231**	33,121	**9,312**	11,528
Cash and cash equivalents, end of period	**$ 11,690**	$ 25,785	**$ 11,690**	$ 25,785

The accompanying notes to the consolidated financial statements are an integral part of these statements.

CANADA BREAD COMPANY, LIMITED

Segmented Financial Information
(In thousands of Canadian dollars)

(Unaudited)	Three months ended September 30, 2005	Three months ended September 30, 2004	Nine months ended September 30, 2005	Nine months ended September 30, 2004
Sales				
Fresh Bakery	**$ 249,922**	$ 242,108	**$ 717,782**	$ 687,290
Frozen Bakery	**96,222**	93,599	289,833	283,497
	$ 346,144	$ 335,707	**$ 1,007,615**	$ 970,787
Earnings from operations, before restructuring costs				
Fresh Bakery	**$ 24,902**	$ 19,534	**$ 65,640**	$ 46,361
Frozen Bakery	**7,963**	9,482	**19,715**	25,445
	$ 32,865	$ 29,016	**$ 85,355**	$ 71,806
Additions to property and equipment				
Fresh Bakery	**$ 6,751**	$ 6,847	**$ 19,216**	$ 19,743
Frozen Bakery	**3,557**	13,075	**23,698**	24,709
	$ 10,308	$ 19,922	**$ 42,914**	$ 44,452
Depreciation and amortization				
Fresh Bakery	**$ 5,727**	$ 5,456	**$ 16,901**	$ 16,294
Frozen Bakery	**5,261**	4,756	**15,297**	14,922
	$ **10,988**	$ 10,212	$ **32,198**	$ 31,216

	As at September 30, 2005	As at September 30, 2004	As at December 31, 2004
	(Unaudited)	(Unaudited)	
Total assets			
Fresh Bakery	**$ 391,651**	$ 405,954	$ 395,355
Frozen Bakery	**365,686**	375,839	364,919
Non-allocated assets	**16,487**	5,713	7,369
	$ 773,824	$ 787,506	$ 767,643

The accompanying notes to the consolidated financial statements are an integral part of these statements.

1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or "the Company") and its subsidiaries operate in the bakery industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. Canada Bread is 87.5% owned by Maple Leaf Foods Inc. ("Maple Leaf") as at September 30, 2005.

2. SIGNIFICANT ACCOUNTING POLICIES

The unaudited interim consolidated financial statements should be read in conjunction with the annual consolidated financial statements for the year ended December 31, 2004. These unaudited interim consolidated financial statements have been prepared in accordance with Canadian generally accepted accounting principles using the same accounting policies as were applied in the consolidated financial statements for the year ended December 31, 2004, except for the following:

(a) Convertible debentures

Effective January 1, 2005, the Company adopted the amendment to Canadian accounting principles, section 3860 – "Financial Instruments – Disclosure and Presentation" on a retroactive basis with restatement of prior periods. The revised standard, which is effective for 2005, requires obligations of a fixed amount that may be settled, at the issuer's option, by a variable number of the issuer's own equity instruments to be presented as liabilities. As a result of adopting the revised standard, the Company retroactively reclassified $20 million of convertible debt as a liability on the balance sheet. The Company had previously included the $20 million related to a debt facility with Maple Leaf in equity, due to the fact that it can be settled, at the option of Canada Bread, in common shares. There was no impact on net earnings, basic or diluted earnings per share for prior periods as a result of adopting this change retroactively.

(b) Variable interest entities

The Company adopted the guidance in Accounting Guideline 15, "Consolidation of Variable Interest Entities" retroactively without restatement of prior periods, effective January 1, 2005. This guideline addresses the consolidation of variable interest entities, which are entities that have insufficient equity and/or their equity investors lack one or more specified essential characteristics of a controlling financial interest. The guideline also provides guidance for determining who, if anyone, should consolidate the variable interest entity. The adoption of this guideline did not have a material impact on the Company.

(c) Comparative figures

Certain 2004 comparative figures have been reclassified to conform to the financial statement presentation adopted in 2005.

3. RESTRUCTURING COSTS

During the first quarter of 2005, the Company recorded $4.7 million in restructuring costs ($3.2 million after tax), relating primarily to the closure of its bakery in Peterborough, England and the closure of a pasta manufacturing line due to the termination of a co-packing arrangement with Maple Leaf.

4. ACCOUNTS RECEIVABLE

Under revolving securitization programs, the Company has sold, with limited recourse, certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and assumes limited recourse obligations for delinquent receivables. At September 30, 2005, trade accounts receivable being serviced under this program amounted to $70.0 million (September 30, 2004: $70.0 million; December 31, 2004: $70.0 million).

5. LONG-TERM DEBT

As at September 30, 2005, the Company had $56.6 million outstanding in long-term debt, of which $55.9 million (September 30, 2004: $102.8 million; December 31, 2004: $90.8 million) was due to Maple Leaf.

On October 26, 2005, the Company reached an agreement with Maple Leaf Foods Inc. to amend its revolving credit agreement. In accordance with the new financing arrangement, the term of the revolving facility has been extended for three years, maturing on December 27, 2008. To provide additional liquidity, the principal amount of the facility has been increased from $169 million to $250 million and the borrowing rate has been reduced to reflect lower credit spreads consistent with current market trends. Under the previous facility, Canada Bread had the option to repay up to $20 million of debt outstanding in common shares. This option does not exist under the amended facility.

6. PENSIONS

During the quarter, the Company recorded $2.4 million related to net benefit plan expense (2004: $1.8 million). For the first nine months of 2005, the Company recorded $7.1 million in net benefit plan expense (2004: $6.0 million).

7. SUPPLEMENTAL CASH FLOW INFORMATION

	Three months ended September 30,		Nine months ended September 30,	
	2005	2004	**2005**	2004
Net interest paid	**$ 1,221**	$ 2,742	**$ 5,082**	$ 6,477
Net income taxes paid	**7,242**	2,690	**27,739**	11,977